VIX Regime Backtest // 30-Year Analysis

1994-01-03 → 2026-03-24 | 387 months | $38,700 invested

IRR WINNER — ANNUALISED RETURN

8.50% IRR (Baseline)

vs 8.48% for the strategy

IRR advantage

+0.0257 pp

ANNUALISED IRR (wins)	Baseline	Strategy
	8.50%	8.48%

FINAL PORTFOLIO VALUE	Baseline	Strategy
	$189,887	$188,881

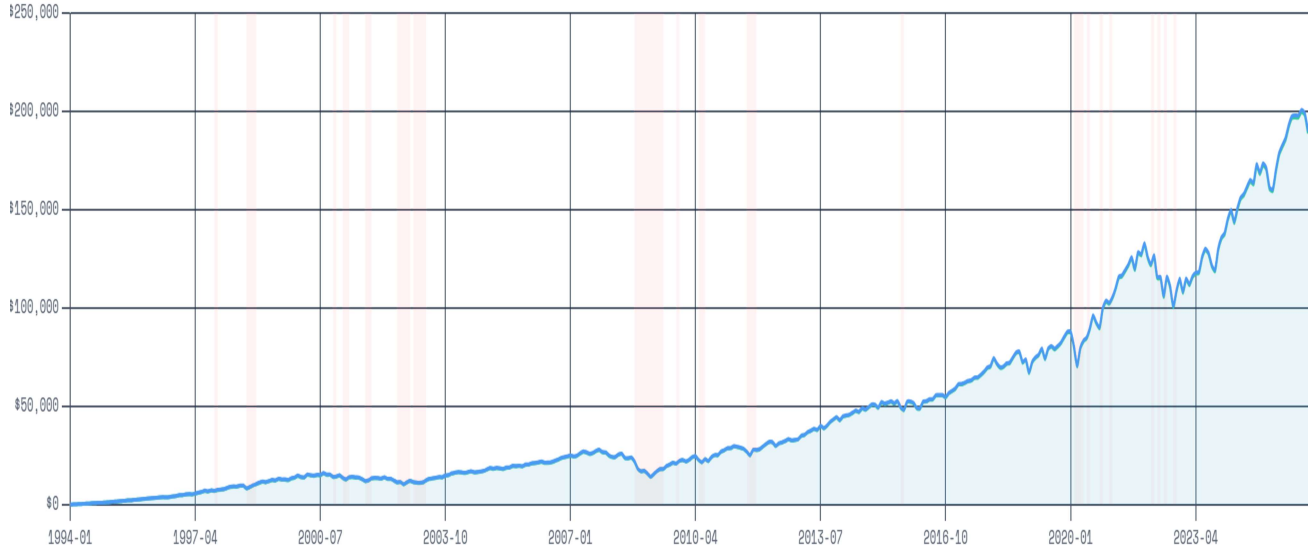
TOTAL RETURN	Baseline	Strategy
	390.7%	388.1%

MAX DRAWDOWN (LESS NEGATIVE = BETTER)	Baseline	Strategy
	-53.2%	-53.0%

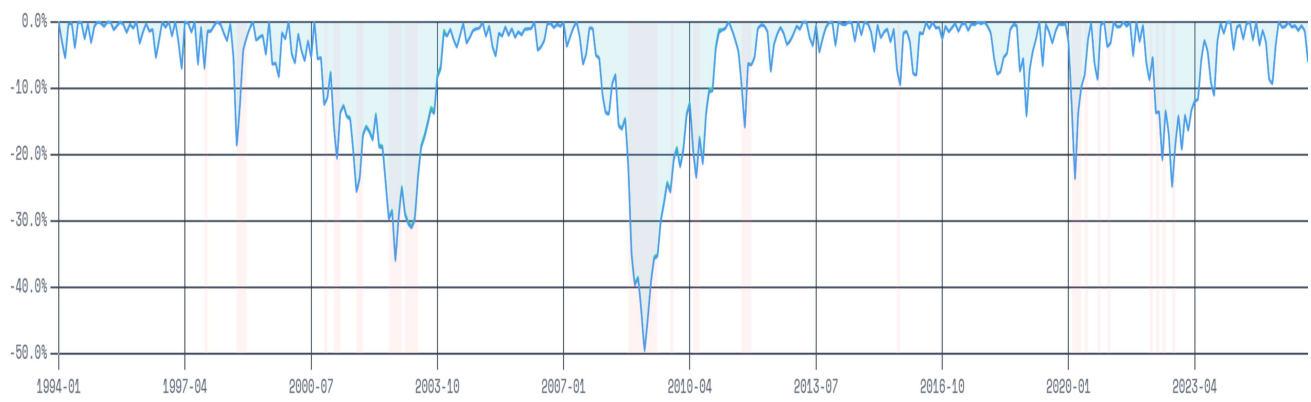
HIGH-VIX DEPLOY DAYS	Baseline	Strategy
	–	45 days

TACTICAL CASH REMAINING	Baseline	Strategy
	–	$205

CUMULATIVE PORTFOLIO VALUE Baseline (100% DCA) Strategy (95/5 tactical) High VIX periods

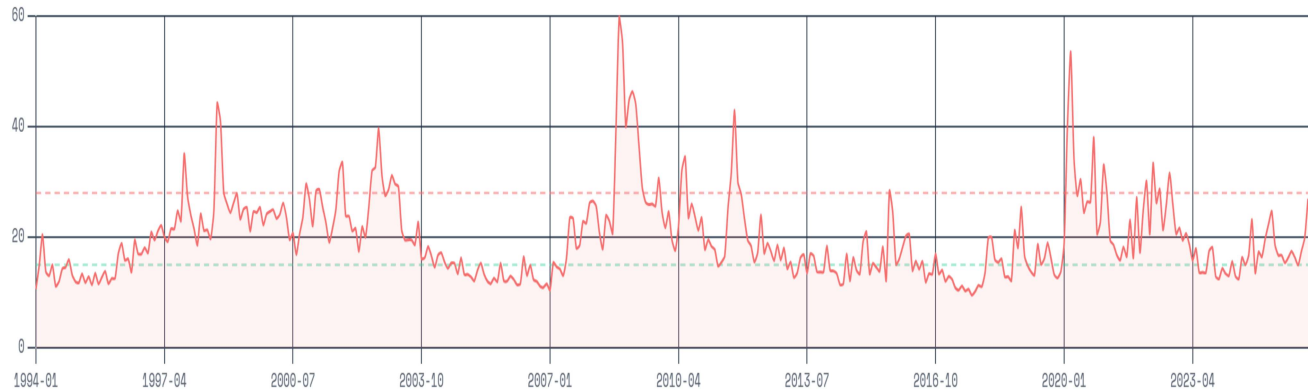


DRAWDOWN FROM PEAK (%) Baseline Strategy



VIX LEVEL OVER TIME

Low <15 High ≥28 (deploy cash)



REGIME DISTRIBUTION (% OF TRADING DAYS)

Low 31.8% Med 56.6% High 11.7%

Low (VIX<15): 31.8% Medium (15-28): 56.6% High (≥28): 11.7% — tactical cash deployed here

Assumptions: $100/month on the first trading day of each month. **Baseline:** 100% into SPX (pure DCA). **Strategy:** $95 into SPX every month; $5 held as cash until VIX ≥ 28, then the full accumulated reserve is deployed into SPX (buy-and-hold once invested). No transaction costs. SPX index price only — no dividend reinvestment. IRR computed on exact dated cash flows, annualised via Brent's method.